Process of selling or buying NFTs

- Setup a digital wallet, compatible with the marketplace you have chosen. Metamask, Trust Wallet, Coinbase Wallet, and AlphaWallet are some of the popular ones.
- Buy cryptocurrency using your credit card on platforms like PayPal or Coinbase. Expect the exchange to charge a percentage of your transaction as fee.
- Load your wallet with the cryptocurrency.
- Connect the wallet to an NFT marketplace, like OpenSea, Foundation, Sorare, SuperRare, Nifty Gateway, Rarible, or Decentraland.
- Mint/list your NFT, or start bidding for one. Expect to be charged a 'gas fee'!

tralised mechanism, open to scrutiny. This makes an NFT a trustable certificate of uniqueness and ownership.

It is verifiable. Not only is an NFT immutable, it is also verifiable. That is what makes it so special. At any point of time, you can quickly and easily verify the authenticity and ownership history of an asset using a block explorer for that specific blockchain, such as Etherscan for Ethereum and PolyScan for Polygon.

It is interoperable. Technically, NFTs can be traded across online platforms, wallets, and marketplaces because of the open nature of blockchain standards.

It can use any blockchain. Today, most NFTs are programmed using Ethereum standards, though technically they can be based on any blockchain like Algorand, Tezos, or Polkadot.

This ability to record and validate digital creations, and to digitise real-world objects, makes NFTs a force to reckon with in the emerging metaverse that aims to integrate real and online experiences, using extended reality tools and the Web3 paradigms of decentralisation and token based economics.

2014 to 2021—a quick recap

The first-known NFT was a small video clip called Quantum, which was registered on the Namecoin blockchain in 2014 and sold for $4. It was a small experiment by techie Anil Dash and artist Kevin McCoy, who paired at an event for sparking new ideas. The duo termed it as monetised graphics.

"McCoy used a blockchain called Namecoin to register a video clip that his wife had previously made, and I bought it with the four bucks in my wallet. We didn't patent the basic idea, but for a few years McCoy tried to popularise it, with limited success. Our first demo might just have been ahead of its time. The system of verifiably unique digital artworks that we demonstrated that day in 2014 is now making headlines in the form of non-fungible tokens, or NFTs, and it's the basis of a billion-dollar market," wrote Dash in *The Atlantic*.

In October 2015, the first NFT project Etheria was launched at Ethereum's first developer conference. They released 457 purchasable, tradeable hexagonal tiles. Most remained unsold.

In 2017, the online game CryptoKitties started selling tradeable cat NFTs. It became so popular that it temporarily slowed down the Ethereum network! "CryptoKitties has become so popular that it's taking up a significant amount of available space for transactions on the Ethereum platform," says Garrick Hileman of the University of Cambridge in a 2017 BBC News report. "Some people are concerned that a frivolous game is now going to be crowding out more serious, significant-seeming business uses." However, you will not find the term NFT in any of the news reports of that time!

The term NFT became popular only after the advent of the Ethereum based ERC 721 (Ethereum Request for Comments 721) standard in 2018. ERC 721 implements an application-programming interface (API) for tokens within smart contracts. It ensures the uniqueness or non-fungibility of tokens and adds more functionalities to know the owner of a specific token, transfer tokens from one account to another, and so on.

NFTs slowly picked up steam, and several NFTs and in-game assets were sold in platforms like Decentraland and Gods Unchained. In the first three months of 2021, more than $200 million was spent on NFTs. NFTs caught the attention of the art world, when a digital art by Mike Winkelmann or Beeple sold at a Christie's auction for more than $69 million in March 2021. In the same month, Ethereum relaunched the unsold tiles of 2015, and they sold within 24 hours for a total of $1.4 million. In August 2021, Jack Dorsey, co-founder of Twitter, sold an NFT of his first tweet—'just setting up twttr'—for $2.9 million. In December 2021, digital artist Pak's *The Merge* fetched $91.8 million on Nifty Gateway!

Auction houses started tying up with digital artists, celebrities started making NFTs of their milestones and memories, sports leagues started launching NFT based trading cards embedded with top shots and historic moments, and companies ranging from fashion to food started launching themed NFT collectibles.

NFTs became so popular in 2021 that many experts found it a bit crazy! Some connected it to the boom in cryptocurrencies at that time. The price of cryptocurrencies skyrocketed in the first quarter of

What is an NFT Drop?

- It refers to the release of an NFT or a collection of NFTs on a digital marketplace
- It specifies the exact date and time
- Will often have White Lists to get in early
- To get into the list, you have to be active on social media and garner the attention of the creator or organiser of the drop
- It is worth getting in because you will get NFTs cheaper at the drop
- There will be purchase limits
- And, there might also be a limit on how many NFTs can be minted